ACTIVIST SCREEN | KOREA (KOSPI) | EVENT & SPECIAL SITUATIONS

Ten Under-Managed, Over-Capitalised KOSPI Mid-Caps

Structurally sound franchises with idle balance sheets, weak boards and fixable capital allocation: where an activist can unlock value in 2026-27

Prepared 14 October 2026 | Prices: close 13-Oct-2026 | Financials: LTM to 30-Jun-2026 (S&P Capital IQ) | US$ at ~KRW 1,380

Executive summary

The market rallied, but most of it did not. The KOSPI closed at 6,035 on 13-Oct-2026, up 69% over one year, 146% over three and 102% over five, with the gains concentrated in memory semiconductors. Mid-cap value stocks with excess cash, controlled boards and weak capital allocation have lagged by 80-180 percentage points over five years. Korea's 2025-26 governance reforms have changed the toolkit for activists: directors now owe a duty to shareholders, large companies face cumulative voting and separately elected audit-committee directors, and treasury shares must now be cancelled. That makes this the best set-up for engagement in Korea in a decade.

We screened a long-list of 32 KOSPI mid-caps on six tests: market cap US$200m-5bn; non-financial; net debt/EBITDA under 1x or net cash; no shareholder group above 40%; 3-5-year TSR below the KOSPI and, ideally, below the sector peer median; and fixable issues. Ten names make the final list. Together they are worth about **US$17.9bn** and hold about **KRW 9.0tn (US$6.5bn) of net cash, 36% of their combined market value**.

Highest conviction: NC Corp, LX Semicon, LG H&H, Kumho Petrochemical and DL E&C. Each combines a large valuation gap, a balance sheet that can fund a 20-50% capital return, and a shareholder register where an organised campaign can win, with the National Pension Service (8-10%) and foreign institutions as swing votes. **Innocean, S-1 and Cheil** are capital-return and related-party stories inside the Hyundai and Samsung groups. S-1 is already the subject of a live Flashlight Capital campaign. **Netmarble and Kangwon Land** have the deepest valuation discounts but the hardest registers. They suit public, value-unlock campaigns rather than proxy contests.

Five names pass every test cleanly (NC, LX Semicon, LG H&H, DL E&C, Innocean). **Five carry one flag, shown on each profile.** S-1 and Cheil have beaten weak global peer sets but trail the KOSPI by 80-90pp over five years. Kumho has fallen roughly in line with a collapsing Korean petrochemical peer group. At Netmarble, the founder is moving to about 38% and has a voting agreement with CJ ENM. At Kangwon Land, the largest holder owns 36%, but public-sector bodies together hold about 51%. Near-misses that fail the 40% ownership test (Orion, Nongshim, HYBE) or the leverage test (Fila/Misto, Coway, Hyundai Department Store) are listed in the screen-design section that follows the ranking.

The ten names — ranked by activist opportunity

#	Company (ticker)	Sector	Mkt cap / net cash	Core activist thesis	Ease of support
1	NC Corp (036570)	Games	$2.9bn / 37%	KRW 1.5tn net cash plus a 10% treasury stake, with management working around the cancellation rule; founder pay and sub-scale spin-offs; 5-yr TSR -63% vs games peers +39%.	Moderate-High
2	LX Semicon (108320)	Display ICs	$0.4bn / 78%	Operating business valued at 1.7x EV/EBIT; diversification failed (SiC dropped, Sanken JV liquidated); no buybacks; 5-yr TSR -63% vs peers +62%.	Moderate-High
3	LG H&H (051900)	Beauty / HPC / Beverages	$2.8bn / 29%	5-yr TSR -80%; Avon fiasco (>KRW 500bn sunk, sold for $6m); hidden Coca-Cola bottling value; preferred shares at a ~60% discount.	Moderate
4	Kumho Petrochemical (011780)	Synthetic rubber	$1.9bn / 3%	Global leader in synthetic rubber/NB-latex at 5x EV/EBIT; ~14% treasury stock management wants to keep; DPS cut five years running; non-core resorts and solar; split family.	High
5	DL E&C (375500)	Construction	$1.8bn / 44%	Cleanest balance sheet among builders, yet 5-yr TSR +2% vs peers +79%; 25% payout policy expires 2026; three CEOs in 2024 and fatal accidents.	Moderate-High
6	Innocean (214320)	Advertising	$0.5bn / 73%	Hyundai group's captive agency trades at 1.3x EV/EBIT; 73% of market cap is net cash; related-party pricing opaque.	Moderate
7	S-1 (012750)	Security services	$2.1bn / 29%	Samsung/Secom stalemate; ~11% treasury; excess cash. LIVE: Flashlight Capital offered KRW 116,000/sh for Samsung affiliates' 20.6% stake (Aug-26).	Moderate (crowded)
8	Cheil Worldwide (030000)	Advertising	$1.4bn / 27%	Samsung's captive agency; 12% treasury and no buybacks; 4.6x EV/EBIT; captive pricing transfers value to Samsung.	Moderate-Low
9	Netmarble (251270)	Games / holdco	$2.0bn / n.c.	Listed stakes (Coway, HYBE, NC: ~KRW 2.9tn) exceed the market cap; games business valued below zero; founder creeping up to ~38%.	Low
10	Kangwon Land (035250)	Casino resort	$2.1bn / 102%	Net cash exceeds market cap (negative EV); 32-month CEO vacancy ended with a political appointee; public bloc ~51%.	Low

Ranking weighs size of the valuation gap, fixability, winnability of a vote and near-term catalysts. Net cash = CIQ net debt (negative) as % of market cap. n.c. = net debt (Netmarble ND/EBITDA 0.26x).

Why Korea, why now

- **A narrow, semiconductor-led market.** The KOSPI traded above 8,400 in June 2026, then fell 5.5% on 13-Oct-2026 to 6,035 as foreigners sold memory stocks. Outside semis, valuations for cash-rich mid-caps remain at 0.3-0.6x book, with EV/EBIT often under 5x.
- **Governance reform now gives minority shareholders real tools.**
  - **Commercial Act amendments (July and August 2025):** directors' duty of loyalty now extends to shareholders; the 3% voting cap applies to audit-committee elections; cumulative voting is mandatory for large listed companies; and more audit-committee directors are elected separately.
  - **Third amendment (passed 25-Feb-2026, effective 6-Mar-2026):** companies must cancel treasury shares. Existing holdings must be cancelled by about September 2027 unless shareholders approve a holding plan every year, which gives activists a vote to fight at every AGM.
  - **Value-up program and dividend tax reform:** separate taxation of dividends from high-payout companies (from 2026) rewards higher payouts and gives controlling families a personal reason to back them.
- **Activism is now mainstream in Korea.** Align Partners won a 50.1% vote at Coway's 2026 AGM. Flashlight Capital is running an escalating campaign at S-1 and has bid for Samsung's stake. Cha Partners took 25.6% support at Kumho in 2024. A minority group (Unlocking Value) forced Nongshim into a margin target in 2025. ISS and Glass Lewis increasingly back reasonable capital-return proposals.
- **The National Pension Service is the kingmaker.** It holds 6-10% of most names here, and its stewardship code makes it receptive to treasury-cancellation, payout and board-independence proposals.

Screen design and funnel

- **Universe and long-list.** We built a long-list of 32 KOSPI-listed mid-caps flagged by excess cash, low valuation, governance history or prior engagement. This is a targeted long-list rather than a full mechanical screen of every KOSPI stock.
- **Size:** US$200m-5bn market cap at the 13-Oct-2026 close (about KRW 1,380/US$). Amorepacific (~US$5.5bn) fails. HYBE (~US$5.0bn) is on the boundary.
- **Balance sheet:** CIQ net debt/EBITDA (LTM to Jun-26) under 1.0x, or net cash. Financials are excluded because EV metrics do not apply.
- **Ownership:** no largest-shareholder group (with related parties) above 40%, checked against DART-derived disclosures and press (Aug-Oct 2026). Effective blocs such as voting agreements and public-sector coordination are flagged.
- **Performance:** TSR from CIQ dividend-adjusted prices (via ProntoNLP), with FY25 final and 2026 interim dividends added back, compared with the KOSPI (price) and with sector peer medians (local currency).
- **Valuation:** EV/Sales, EV/EBIT, P/E and FCF yield on LTM CIQ data at current prices. Adjusted P/E uses EBT excluding unusual items taxed at 24% to strip one-offs such as property sales.

Names that failed a hard screen (selected)

Company	Reason excluded (data: CIQ LTM Jun-26; ownership: DART/press)
Orion (271560)	Controlling group 43.8% (Orion Holdings 37.4% + family). Near-miss: strong case on LigaChem (KRW 548bn in 2024 plus KRW 125bn more in 2026) and KRW 1.2tn net cash.
Nongshim (004370)	Controlling group 44.2%; 5-yr TSR +47% (beat food peers). Near-miss: 5.9% EBIT margin vs Samyang Foods ~23%; 47% of market cap in net cash.
HYBE (352820)	Bang Si-hyuk + related parties 47.4%; market cap ~US$5.0bn; founder referred to prosecutors (Sep-26).
Misto/Fila Holdings (081660)	Consolidated ND/EBITDA 1.6x (Acushnet). Holdco discount case, but fails the leverage test.
Coway (021240)	ND/EBITDA 1.9x; 3-yr TSR +151%; Align Partners already engaged.
KCC (002380)	ND/EBITDA 5.3x (Momentive).
Hyundai Dept Store / LF / Kwangdong / Daesang	ND/EBITDA 1.6x / 1.8x / 2.3x / 3.2x.
LX International / LX Holdings	ND/EBITDA 2.4x / 1.5x.
Hotel Shilla (008770)	ND/EBITDA 4.4x; loss-making.
DB HiTek (000990)	Re-rated: 3-yr TSR +154%, 1-yr +129%.
BGF Retail (282330)	Controlling group 46-51%.
Amorepacific (090430)	Market cap ~US$5.5bn, above the size cap.
Taekwang / Binggrae / Sindoh	Concentrated family control (not re-verified) and/or TSR outperformance (Binggrae +83% over 3 years); Taekwang loss-making at EBIT level.

Screening dashboard — returns, valuation, profitability, leverage

TSR in local currency including FY25/2026 dividends; KOSPI price return: 1y +69%, 3y +146%, 5y +102%. Valuation on CIQ LTM Jun-26 at the 13-Oct-26 close. P/E adj. = market cap / (EBT excl. unusual items x 0.76). Kumho 3/5-yr TSR for common stock not available from our sources (see note on its profile). n.m. = not meaningful.

Company	Mkt cap US$bn	TSR 1y	TSR 3y	TSR 5y	Sector 3y	Sector 5y	EV/ Sales	EV/ EBIT	P/E rep.	P/E adj.	FCF yield	EBIT mgn	EBITDA mgn	ND/ EBITDA	Net cash % mcap	Peer EV/EBIT
NC Corp	2.92	0%	-6%	-63%	+22%	+39%	1.21x	8.9x	6.5x	13.8x	5.3%	13.5%	18.0%	-4.0x	37%	10.6x
LX Semicon	0.41	-37%	-53%	-63%	+32%	+62%	0.09x	1.7x	9.7x	9.5x	16.3%	5.2%	7.6%	-3.7x	78%	15.2x
LG H&H	2.80	-5%	-36%	-80%	-33%	-49%	0.50x	17.3x	n.m.	30.1x	11.4%	2.9%	6.6%	-2.7x	29%	20.1x
Kumho Petrochem.	1.86	c.-1%	n.a.	n.a.	-20%	-50%	0.36x	5.4x	5.1x	5.0x	13.1%	6.7%	11.1%	-0.1x	3%	10.9x
DL E&C	1.80	+55%	+115%	+2%	+142%	+79%	0.25x	6.3x	4.0x	8.7x	16.3%	4.0%	4.9%	-3.1x	44%	14.8x
Innocean	0.52	+8%	-9%	-27%	+7%	0%	0.11x	1.3x	5.6x	4.8x	42.7%*	8.4%	11.3%	-2.2x	73%	9.9x
S-1	2.13	+18%	+74%	+24%	+32%	+20%	0.68x	9.6x	19.3x	17.4x	6.2%	7.1%	13.1%	-2.2x	29%	11.7x
Cheil Worldwide	1.43	+1%	+13%	+11%	-3%	-13%	0.32x	4.6x	8.9x	8.0x	13.8%	7.0%	9.0%	-1.3x	27%	10.2x
Netmarble	1.97	-37%	-17%	-71%	+22%	+39%	1.02x	9.1x	6.9x	8.1x	9.4%	11.2%	15.8%	0.3x	(4%)	10.6x
Kangwon Land	2.07	-12%	+9%	-43%	-34%	-31%	neg.	neg.	8.6x	18.3x	4.3%	14.6%	20.7%	-9.6x	102%	12.4x

Ownership and governance snapshot

Company	Largest holder / controlling group	NPS	Treasury	Foreign	Other key holders and register notes
NC Corp	Kim Taek-jin + related 12.4%	8.3%	~10.0%	n.v.	PIF (Saudi) 9.4%; Netmarble 9.1% (cross-holding, friendly). 2026 AGM allowed treasury to be held 'for business purposes'.
LX Semicon	LX Holdings + related 33.1%	n.v.	n.v.	~27% (2023)	LX family succession under way at LX Holdings; no buybacks or Value-up filing found.
LG H&H	LG Corp 34.7%	8.3%	~4% (est.)	27.3%	Remaining treasury to be cancelled by 2027; preferred shares (051905) ~60% discount.
Kumho Petrochem.	Park Chan-koo family ~15-16% vs nephew Park Chul-wan ~10-11%	8.2%	~14%	n.v.	Minorities ~50%; 2026 charter change lets treasury be held 'for business purposes'.
DL E&C	DL Inc. + related 24.8%	10.5%	>5% after current buyback	~22% (2023)	Lee Hae-wook controls DL Inc. via Daelim Corp; preferred shares outstanding.
Innocean	Chung Sung-yi 17.7%; related parties 28.7%	n.v.	0%	n.v.	Hyundai Motor Group affiliate; family split not verified.
S-1	Secom (Japan) 25.7%	6.3% (2024)	~11%	~56%	Samsung affiliates 20.6% (SDI 11.0%, Life 5.3%, Card 1.9%, Sec. 1.3%, F&M 1.0%); Flashlight ~2%.
Cheil Worldwide	Samsung Electronics 25.2%; group 28.5%	n.v.	12.0%	n.v.	Samsung Card 3.0%; ~80% of revenue from Samsung affiliates (2021).
Netmarble	Bang Jun-hyuk 38.3% (post Tencent purchase; 24.9% before)	n.v.	4.7%	n.v.	CJ ENM 17.3% (agreement with Bang); NC 7.0%; NongHyup 5.0%; Tencent 4.7%.
Kangwon Land	KOMIR 36.3% (public bloc ~51%)	~6.8% (n.v.)	~7.4%	~11.5%	Gangwon Dev. Corp ~5%; Jeongseon 5.0%; Samcheok 1.3%; Taebaek 1.3%; Yeongwol 1.1%.

n.v. = not verified from available sources (check the DART 2026 half-year shareholder register). Stakes from DART-derived aggregators, broker reports and press between Aug and Oct 2026. Netmarble's post-deal stake assumes the Sep-2026 Tencent block purchase closed (not confirmed).

1. NC Corp (formerly NCSoft) 036570 KS | Online & mobile games (Lineage, Aion, Throne & Liberty)

A franchise publisher sitting on KRW 1.5tn of net cash and a 10% treasury stake, whose founder-led management has given shareholders a -63% five-year TSR while global game peers returned +39%.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 207,000	**KRW 4.03tn / $2.9bn**	**KRW 2.53tn**	**KRW 1.49tn (37%)**	**Founder 12.4%**	**Moderate-High**

What an activist would say

- **The IP still works; the capital allocation does not.** Q2-26 revenue rose about 101% YoY to KRW 770bn with KRW 174bn of operating profit, and Aion 2 launched globally on 5-Oct-26. Yet EBIT margin is 13.5% vs a 31% peer median, and 37% of the market cap is idle cash.
- **Treasury shares are being used for management's ends, not owners'.** About 10% of the shares are in treasury. Instead of cancelling them, the 2026 AGM amended the articles so they can be held 'for business purposes', and about 160k shares have since gone to staff. That sidesteps the new mandatory-cancellation regime.
- **Founder governance has not delivered.** Co-CEO Kim Taek-jin (12.4%) was paid KRW 5.3bn for FY25, a year with KRW 16bn of operating profit. Six sub-scale studio and AI spin-offs (2024-25) add overhead and option value nobody can price. A 9% cross-holding with Netmarble protects incumbency.

Most actionable changes

1. Cancel the full ~10% treasury block and return KRW 1.0tn (about 25% of market cap) over three years through buybacks and special dividends, alongside a 50% FCF payout floor.
2. Cut cost to reach a 25%+ EBIT margin by FY28. Wind down or externally fund the spin-offs (NC AI, Big Fire, Ruidus, First Spark) and tie founder pay to relative TSR.
3. Strengthen the board: split chair and CEO, appoint two shareholder-backed independent directors (PIF and NPS are natural sponsors), and unwind the Netmarble cross-holding (NC's 7% of Netmarble is about KRW 0.19tn).

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	0%	-15%	+69%
TSR 3y	-6%	+22%	+146%
TSR 5y	-63%	+39%	+102%
EV/Sales	1.21x	2.89x	
EV/EBIT	8.9x	10.6x	
P/E (adj.)	13.8x	16.7x	
FCF yield	5.3%	4.6%	
EBIT margin	13.5%	30.8%	
EBITDA margin	18.0%	36.1%	
Net debt/EBITDA	-4.0x	-2.0x	

Ownership

Top-5 shareholders	% common
Kim Taek-jin + related	12.37%
PIF (Saudi Arabia)	9.43%
Netmarble	9.05%
NPS	8.34%
Treasury (no vote)	9.99%

FnGuide/DART, 2026 (undated). Fifth voting holder not verified.

Shareholder support: Moderate-High

The friendly bloc is the founder's 12.4% plus Netmarble's 9.1% (about 21%). PIF (9.4%) and NPS (8.3%) together match it, and foreign and retail holders are disaffected after a 63% drawdown. Cumulative voting and the separate audit-committee election under the 2025 amendments make one or two board seats realistic. ProntoNLP's 12-month earnings-call tone is +0.81, strongly upbeat. That gap between management's message and shareholder outcomes is useful for a public campaign.

Likely defence

Management will argue the company is mid-investment cycle (Aion 2 global launch, new IP), that cash is needed for M&A and IP acquisition, that it already cancelled 1.9% of shares in March 2025 and pays 30% of adjusted net income, and that treasury shares fund employee retention. Netmarble's cross-holding is a ready-made white squire, and retail investors loyal to the founder are a factor.

Activist angles

Angle	Specifics
Capital allocation	KRW 1.49tn net cash plus ~10% treasury: cancellation, buyback and special dividend; 50% FCF payout floor.
Portfolio simplification	Six spin-offs (QA, IDS, First Spark, Big Fire, Ruidus, NC AI); Netmarble 7% stake; remaining real estate after the KRW 443.5bn sale of Samsung-dong Tower 1.
Governance	Founder pay vs results, co-CEO structure, treasury-share workaround, cross-holding with Netmarble.
M&A	Stop buying IP for growth; strategic partnership with PIF/Savvy Games as a value catalyst.

Sources: S&P Capital IQ (LTM Jun-26); ProntoNLP call-tone and filings (NC FY25 report: treasury retirement); FnGuide shareholder data; Dealsite Mar-26; Youthdaily (treasury to staff); Bizwatch Jul-25 (building sale); inews24 / Herald (Q2-26, Aion 2)

2. LX Semicon 108320 KS | Fabless display-driver ICs (OLED/LCD DDI, T-con)

A leading global OLED display-driver IC house is valued at 1.7x EV/EBIT because 78% of its market cap is cash that management keeps pouring into failed diversification.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 34,650	**KRW 564bn / $0.41bn**	**~KRW 140bn**	**KRW 441bn (78%)**	**LX Holdings 33.1%**	**Moderate-High**

What an activist would say

- **You get the operating business for almost nothing.** EV is about KRW 140bn against KRW 82bn of LTM EBIT and KRW 1.57tn of revenue: 0.09x EV/Sales vs 2.8x for Novatek and peers. TSR is -63% over five years and -53% over three, while DDI peers returned +62% and +32%.
- **The diversification push has failed and the cash has not come back.** Silicon carbide was effectively dropped, the APDT power-semi JV with Sanken was put into liquidation (Mar-26), and MCU sales are below plan. DPS fell from KRW 5,400 (FY21) to KRW 1,500 (FY25). There has been no buyback and no Value-up filing.
- **A captive business inside a parent that needs cash.** Revenue still depends on LG Display and Chinese panel makers. LX Holdings (33%) is in the middle of family succession and would benefit from a large upstream dividend, so the controlling holder's interests can be aligned with minorities'.

Most actionable changes

1. Return KRW 250-300bn (45-55% of market cap) through a tender-offer buyback and special dividend, keep about KRW 150bn of operating liquidity, and adopt a 60%+ payout policy.
2. Stop non-core spending: close or sell the remaining MCU and power-semi activities, monetise the 10.9% Telechips stake, and focus R&D on OLED DDI/T-con for Chinese panel makers and automotive displays.
3. Have LX Holdings run a strategic review: sale to or merger with a global fabless at Novatek-like multiples (about 15x EBIT) would re-rate the remaining 67%.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	-37%	+34%	+69%
TSR 3y	-53%	+32%	+146%
TSR 5y	-63%	+62%	+102%
EV/Sales	0.09x	2.79x	
EV/EBIT	1.7x	15.2x (Novatek)	
P/E (adj.)	9.5x	19.0x (Novatek)	
FCF yield	16.3%	5.0%	
EBIT margin	5.2%	4.9%	
EBITDA margin	7.6%	7.4%	
Net debt/EBITDA	-3.7x	1.0x	

Ownership

Top-5 shareholders	% common
LX Holdings + related	33.11%
Foreign investors (aggregate)	~26.8% (Apr-23)
NPS	n.v.
Others	n.v.
Free float ex-LX	~67%

DART-derived (Sep-26). Remaining top-5 not verified; check the H1-26 report.

Shareholder support: Moderate-High

Two-thirds of the register is free float. LX Holdings can block special resolutions (it holds over a third) but not ordinary ones such as dividends and director elections. The key point is that a large special dividend sends about KRW 90bn to LX Holdings at a time when the LX family needs liquidity for succession, so a private approach to the parent before going public is likely to work. Local press already reports investor frustration with the cash hoard.

Likely defence

Management will say the cash is needed to ride out the panel cycle and to compete with Chinese DDI rivals on R&D, that diversification is a long-term programme, and that the LG Display relationship rules out aggressive capital return. The stock's small cap and thin trading make it easy to dismiss a campaign as a short-term trade.

Activist angles

Angle	Specifics
Capital allocation	Net cash at 78% of market cap: tender buyback and special dividend; 60%+ payout.
Portfolio simplification	Exit SiC, MCU and power-semi remnants; Telechips 10.9% stake; heat-dissipation substrate business.
Governance	Board independence from LX group; oversight of related-party sales to LG Display; capital-allocation committee.
M&A	Sale or merger with a global fabless; or a take-private by LX Holdings at a premium.

Sources: S&P Capital IQ (LTM Jun-26); ProntoNLP DART filings (Q1/Q2-26 provisional results); etfshopping (DART-derived ownership, Sep-26); newdaily (Mar-26: APDT liquidation, SiC); Daum (Mar-25: customer mix); dealsitetv (cash hoard); inews24 (Telechips)

3. LG H&H 051900 KS | Beauty (Whoo, Sum), Home & Daily Beauty, Refreshment (Coca-Cola Korea bottler)

Korea's former beauty champion has given shareholders -80% over five years, burned more than KRW 500bn on Avon, and still hides a Coca-Cola bottling franchise inside a 0.5x EV/Sales multiple.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 264,000	**KRW 3.87tn / $2.8bn**	**KRW 3.16tn**	**KRW 1.14tn (29%)**	**LG Corp 34.7%**	**Moderate**

What an activist would say

- **The worst five-year record in Asian beauty.** TSR is -80% vs a -49% peer median (Amorepacific, Shiseido, Kao, Kose) and +102% for the KOSPI. LTM EBIT margin is 2.9%, after FY25 operating profit fell 63% to KRW 171bn and the company swung to a net loss.
- **A textbook case of undisciplined M&A.** More than KRW 500bn went into Avon (including KRW 286bn of loans converted to equity) before it was sold in Aug-26 for US$6m, with Avon Canada going for US$1. US impairments were about KRW 244bn in 2022 and KRW 122bn in Q4-24. The Crème Shop and Boinca remain sub-scale.
- **Hidden value under the conglomerate wrapper.** Refreshment (Coca-Cola bottling) made KRW 80bn of operating profit in H1-26 alone. Bottlers trade at about 10x EBITDA, which on its own could support a large part of the EV. The preferred shares trade at about a 60% discount to common.

Most actionable changes

1. Run a strategic review of Refreshment (sale, IPO or spin-off) to crystallise bottler multiples, and exit the remaining sub-scale US brands.
2. Return capital on top of the existing plan: a KRW 500bn buyback (13% of market cap) funded from net cash, plus a preferred-share buyback or conversion to close the ~60% discount.
3. Hold the board to a plan: give new CEO Lee Sun-joo (ex-L'Oréal, Oct-25) a public target of 10%+ operating margin by 2028, cut SG&A and rationalise duty-free/daigou channels, with board-level M&A hurdle rates.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	-5%	+6%	+69%
TSR 3y	-36%	-33%	+146%
TSR 5y	-80%	-49%	+102%
EV/Sales	0.50x	1.76x	
EV/EBIT	17.3x	20.1x	
P/E (adj.)	30.1x	24.3x	
FCF yield	11.4%	4.7%	
EBIT margin	2.9%	6.5%	
EBITDA margin	6.6%	12.3%	
Net debt/EBITDA	-2.7x	-0.8x	

Ownership

Top-5 shareholders	% common
LG Corp	34.74%
NPS	8.26%
Treasury (est.)	~4%
Foreign investors (aggregate)	27.3%
Others	n.v.

etfshopping/DART (Sep-26); NPS large-holding report (2-Oct-26); Hanwha (Apr-26).

Shareholder support: Moderate

LG Corp is the only material related party at 34.7%, so 65% of the votes are outside the group. NPS (8.3%, recently raised) and foreign holders (27%) have lived through an 80% drawdown. The real lever is LG Corp itself: it is under its own holding-company Value-up pressure and is likely to welcome a Refreshment monetisation that funds group returns. Expect a private-first engagement, escalating to a public letter and board nominations under cumulative voting.

Likely defence

LG H&H will point to the turnaround already under way: a new CEO, the Avon exit, a Value-up plan (cancel all treasury shares by 2027, payout of at least 30%, interim dividends, a 10% margin target by 2030) and H1-26 operating profit up 7%. It will say Refreshment provides stable cash and that the LG group does not sell core assets under pressure.

Activist angles

Angle	Specifics
Capital allocation	KRW 1.14tn net cash; preferred-share discount; buyback beyond the treasury cancellation already committed.
Portfolio simplification	Refreshment (Coca-Cola bottler) monetisation; remaining US brands (The Crème Shop, Boinca).
Governance	Three CEOs since 2022; board oversight of overseas M&A; incentive targets linked to margin and ROIC.
M&A	Moratorium on acquisitions; separation of HDB/Refreshment from Beauty.

Sources: S&P Capital IQ (LTM Jun-26); etfshopping (Sep-26); StockHub (NPS 2-Oct-26); Hanwha (Apr-26); Edaily / Asiae (Aug-26: Avon sale); Bizwatch / Eugene (impairments); CNC News (H1-26 segments); SmartToday (Value-up, AGM, CEO)

4. Kumho Petrochemical 011780 KS | Synthetic rubber, NB-latex, resins, phenol chain; resorts and solar (non-core)

A global synthetic-rubber leader at 5x EV/EBIT, with ~14% treasury stock management voted to keep, falling dividends and a split family. FLAG: its decline is roughly in line with Korean petrochemical peers.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW ~114,700	**~KRW 2.57tn / $1.9bn**	**KRW 2.63tn**	**KRW 85bn**	**Park family ~16% (split)**	**High (relative)**

What an activist would say

- **A franchise priced as a commodity.** Kumho is a global leader in synthetic rubber and the #1 producer of NB-latex (nitrile gloves) and made an 11% EBITDA margin through a severe petrochemical trough, while Korean peers lost money. It trades at 5.4x EV/EBIT, 5.0x adjusted P/E and a 13% FCF yield.
- **Capital is being kept from shareholders.** Common DPS has been cut every year: KRW 10,000 (FY21), then 5,400, 2,900, 2,200 and 1,700 (FY25). About 14% of shares sit in treasury, and the 2026 AGM changed the articles so they can be held 'for business purposes' despite the new cancellation law. Capital is also tied up in resorts and golf (including Weihai, China), solar plants and trading.
- **The register is split and can be won.** Chairman Park Chan-koo's side holds about 16% and nephew Park Chul-wan about 11%. NPS (8.2%) and roughly 50% minorities decide every vote. In 2024 Cha Partners won 25.6% support with only a minority-led proposal.

Most actionable changes

1. Vote down the annual treasury-holding approval and cancel 100% of treasury shares (~14%). Lift payout to 50% of consolidated net income with a DPS floor, replacing the 30-40%-of-separate-NI policy that expires after FY26.
2. Divest non-core assets (Kumho Resort and golf in Korea and Weihai, solar generation, trading) and test the market value of the 50% Kumho Mitsui Chemicals (MDI) JV against its book value.
3. Renew the board and capex discipline: an independent chair, directors with petrochemical restructuring experience, and published hurdle rates for latex, CNT and new capacity.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	c.-1%	+3%	+69%
TSR 3y	n.a.	-20%	+146%
TSR 5y	n.a.	-50%	+102%
EV/Sales	0.36x	1.14x	
EV/EBIT	5.4x	10.9x (Zeon)	
P/E (adj.)	5.0x	10.5x (Zeon)	
FCF yield	13.1%	-11.2%	
EBIT margin	6.7%	-1.2%	
EBITDA margin	11.1%	7.6%	
Net debt/EBITDA	-0.1x	6.8x	

Ownership

Top-5 shareholders	% common
Park Chul-wan (nephew)	9.98%
NPS	8.16%
Park Jun-kyung (chairman's son)	7.45%
Park Chan-koo (chairman)	6.96%
Park Ju-hyung (chairman's daughter)	1.29%

DART-derived (Sep-26), Dealsite, SBS Biz. Treasury ~14% (Sep-25), excluded from votes.

TSR note: common TSR built from verified price points: 1y ~KRW 117,000 (late Oct-25) to 114,700 (9-Oct-26) plus FY25 DPS; 2y from KRW 146,000 (14-Oct-24) is about -19%. The preferred shares (011785) returned about -15% (3y) and -46% (5y).

Shareholder support: High (relative to the list)

No group controls. The two family camps oppose each other, NPS is the largest independent vote, and about half the register is minorities. ISS and Glass Lewis backed management in 2024 because it offered a 50% cancellation; under the 2026 law full cancellation is the default, which tilts proxy advisers towards activists. Park Chul-wan is a natural but awkward ally, so an independent fund should lead on capital and board issues only.

Likely defence

Management will cite the petrochemical downturn and the need for a liquidity buffer, the treasury cancellations already done (about 50% of the 2024 stock), its 30-40% return policy, and the use of treasury shares for strategic partnerships. It will try to frame any campaign as a proxy for Park Chul-wan's family feud.

Activist angles

Angle	Specifics
Capital allocation	~14% treasury cancellation; payout reset after the FY24-26 policy expires; buyback at under 0.5x book.
Portfolio simplification	Resorts/golf (Korea, Weihai), solar plants, trading arm; JV valuation.
Governance	Family split, independent chair, end of 'business-purpose' treasury holding.
M&A	Avoid diversification; selective consolidation in Korea's government-led petrochemical restructuring only with strict returns.

Sources: S&P Capital IQ; etfshopping; Dealsite / SBS Biz; Seoul Shinmun (2024 AGM); Sidae (2026 AGM); Kumho IR; ProntoNLP DART filings; broker reports / mydailybyte (prices)

5. DL E&C 375500 KS | Engineering & construction (housing 'Acro', plant, civil)

The cleanest balance sheet in Korean construction, with 44% of market cap in net cash, has delivered a +2% five-year TSR while peers returned +79%, alongside a token payout policy, CEO churn and a poor safety record.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 62,600	**KRW 2.48tn / $1.8bn**	**KRW 1.80tn**	**KRW 1.09tn (44%)**	**DL Inc. 24.8%**	**Moderate-High**

What an activist would say

- **Balance-sheet quality is not reflected in the price.** Net cash is KRW 1.09tn, and unstarted PF guarantees are only about 11% of equity, the lowest in the peer group. Yet the stock trades at 0.25x EV/Sales and 6.3x EV/EBIT vs peer medians of 0.64x and 14.8x. Five-year TSR is +2% vs +79% for construction peers and +102% for the KOSPI.
- **'Value-up in name only.'** The 2024-26 policy returns just 25% of net income (10% dividend, 15% buyback). The FY25 dividend was KRW 37bn on a KRW 2.5tn market cap, and the policy expires at end-2026, which is a natural catalyst.
- **Management and safety risk.** There were three CEOs in 2024 alone, one of whom left after two months. DL E&C has the worst fatality record among major builders under the Serious Accidents Punishment Act, with further deaths in May-Jul 2026. That threatens licences and public contract awards.

Most actionable changes

1. A new 2027-29 policy: at least 50% payout plus a one-off KRW 500bn return (about 20% of market cap) via tender buyback or special dividend, while keeping KRW 500bn+ of net cash.
2. An independent board safety committee, pay clawbacks tied to serious accidents, and a stable CEO succession process run by the nomination committee.
3. Cancel all treasury shares and simplify the share structure (common/preferred). Monetise non-core assets and keep plant and premium housing as the focus.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	+55%	+61%	+69%
TSR 3y	+115%	+142%	+146%
TSR 5y	+2%	+79%	+102%
EV/Sales	0.25x	0.64x	
EV/EBIT	6.3x	14.8x	
P/E (adj.)	8.7x	21.4x	
FCF yield	16.3%	-2.8%	
EBIT margin	4.0%	2.9%	
EBITDA margin	4.9%	5.0%	
Net debt/EBITDA	-3.1x	2.1x	

Ownership

Top-5 shareholders	% common
DL Inc. + related	24.81%
NPS	10.45%
Foreign investors (aggregate)	~22% (2023)
Others	n.v.
Treasury	>5% post-buyback

StockHub/Hanwha (2026); CEO Score (NPS, Jun-26).

Shareholder support: Moderate-High

DL owns only about a quarter. NPS (10.5%) is the largest independent holder and is sensitive to safety and stewardship issues, and three-quarters of the register is outside the controlling group. The expiry of the payout policy gives a natural window to push a shareholder-friendly replacement before the 2027 AGM. The main risk is a minority-unfriendly restructuring at the DL group level, which an activist presence would help deter.

Likely defence

Management will cite the housing and PF cycle as reasons to keep liquidity, the KRW 55.5bn buyback trust running to December 2026 with cancellation, record Q2-26 operating profit (+26%), and a new policy 'under review'. It will present safety investment as already in train.

Activist angles

Angle	Specifics
Capital allocation	Net cash at 44% of market cap; replace the 25% policy; tender buyback.
Portfolio simplification	Preferred/common structure; non-core holdings and overseas legacy projects.
Governance	CEO churn, safety oversight, protection from DL group restructuring.
M&A	Avoid value-destructive group transactions; consider plant/EPC partnerships.

Sources: S&P Capital IQ (LTM Jun-26); StockHub / Hanwha / etfshopping (ownership); CEO Score (NPS 10.45%); IB Tomato (policy critique); SmartToday (buyback trust, CEOs); Seoul Shinmun / Sateconomy (safety); broker report (PF exposure)

6. Innocean Worldwide 214320 KS | Advertising & marketing services (Hyundai Motor Group in-house agency)

Hyundai group's captive agency trades at 1.3x EV/EBIT and 4.8x adjusted P/E because 73% of its market cap is net cash that an asset-light, working-capital-positive business does not need.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 17,960	**KRW 718bn / $0.52bn**	**~KRW 240bn**	**KRW 522bn (73%)**	**Chung Sung-yi 17.7%**	**Moderate**

What an activist would say

- **A cash box with an anchor client.** EV of about KRW 240bn buys KRW 181bn of LTM EBIT and a contract base anchored by the world's #3 automaker group. Peers trade at 9.9x EV/EBIT.
- **Performance is drifting.** TSR is -27% over five years and -9% over three vs agency medians of 0% and +7%. Net income fell from KRW 102bn (FY23) to KRW 92bn (FY25), and overseas acquisitions have not visibly lifted returns.
- **Related-party opacity.** Pricing on Hyundai/Kia work, a large but undisclosed share of gross profit, is not broken out by client group, so minorities cannot tell whether margin is being left with the parent group.

Most actionable changes

1. Return KRW 300-400bn (45-55% of market cap) through a special dividend or tender, and adopt a 70%+ payout, above Cheil's 60%.
2. Disclose revenue and margin by client group and have an independent committee review Hyundai/Kia contracts annually, with the review published.
3. Strategic options: stop sub-scale overseas M&A. If the group sees Innocean as core, a take-private by the founding family or group at a premium is the clean exit for minorities.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	+8%	+16%	+69%
TSR 3y	-9%	+7%	+146%
TSR 5y	-27%	0%	+102%
EV/Sales	0.11x	0.72x	
EV/EBIT	1.3x	9.9x	
P/E (adj.)	4.8x	21.8x	
FCF yield	42.7%*	13.6%	
EBIT margin	8.4%	8.9%	
EBITDA margin	11.3%	12.4%	
Net debt/EBITDA	-2.2x	0.8x	

Ownership

Top-5 shareholders	% common
Chung Sung-yi	17.69%
Other related parties (family, foundation, group)	11.02%
Related-party total	28.71%
NPS	n.v.
Treasury	0%

*etfshopping/DART (Sep-26). *FCF yield inflated by agency working-capital inflows.*

Shareholder support: Moderate

The family and related parties hold 28.7%, so about 71% is free float and an ordinary resolution can pass without the family. A special dividend sends cash to Chung Sung-yi personally, and Hyundai Motor Group is sensitive to governance headlines as it pursues its own Value-up agenda, so a constructive private approach has a fair chance. Liquidity is thin, which limits position size.

Likely defence

Innocean will argue that the cash is needed for global M&A and for working-capital swings in media buying, that Hyundai/Kia contracts are at arm's length and subject to fair-trade rules, and that it already pays about half of earnings.

Activist angles

Angle	Specifics
Capital allocation	Net cash at 73% of market cap; special dividend; 70%+ payout.
Portfolio simplification	Overseas subsidiaries with sub-par returns.
Governance	Related-party pricing transparency; independent review committee.
M&A	Halt bolt-ons; possible take-private by the family or group.

Sources: S&P Capital IQ (LTM Jun-26); etfshopping (Sep-26); Etoday (Chung Eui-sun stake sale)

7. S-1 Corporation 012750 KS | Security services (alarm monitoring, guarding, building management)

Korea's #1 security company is stuck between two owners, Secom and the Samsung affiliates, neither of which optimises it. An activist is already at the gate. FLAG: 3- and 5-year TSR beats global security peers.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 87,000	**KRW 2.94tn / $2.1bn**	**KRW 1.96tn**	**KRW 0.85tn (29%)**	**Secom 25.7%**	**Moderate (crowded)**

What an activist would say

- **A recurring-revenue franchise at a discount.** EV/EBIT is 9.6x vs 11.7x for global peers (Secom, Securitas, ADT), and FCP puts it at about 3.3x EV/EBITDA on its own cash measure, vs about 12x for SK Shieldus. Net cash of KRW 0.85-1.3tn (depending on definition) earns about 1.6% on deposit.
- **Two shareholders, no owner.** Secom holds 25.7% and the Samsung affiliates 20.6%, and FCP calls the CEO seat a 'parking spot for retired Samsung executives'. About 11% of shares are in treasury and must be cancelled by about September 2027 unless shareholders approve holding them.
- **A live campaign gives the catalyst.** Flashlight Capital Partners (~2%) wrote to the board in June 2026 and in August offered KRW 116,000 a share (about +45%) for Samsung affiliates' 7.8m shares. Samsung rejected it, and FCP is pushing for an open auction and for Secom to go above 50%.

Most actionable changes

1. Run a formal, open sale process for the Samsung affiliates' 20.6% (or the whole company), with a tender at the same price for minorities.
2. Cancel the ~11% treasury stake and return KRW 500bn+ of excess cash. Raise payout from about 50% to 70%+.
3. Make the board majority-independent, with CEO selection by an independent nomination committee rather than a Samsung appointment.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	+18%	+12%	+69%
TSR 3y	+74%	+32%	+146%
TSR 5y	+24%	+20%	+102%
EV/Sales	0.68x	1.77x	
EV/EBIT	9.6x	11.7x	
P/E (adj.)	17.4x	16.3x	
FCF yield	6.2%	n.a.	
EBIT margin	7.1%	10.4%	
EBITDA margin	13.1%	15.7%	
Net debt/EBITDA	-2.2x	1.0x	

Ownership

Top-5 shareholders	% common
Secom Co. (Japan)	25.65%
Samsung SDI	11.03%
NPS (Dec-24)	6.29%
Samsung Life	5.34%
Samsung Card	1.91%

BizWatch / Korea Herald / etfshopping (Jun-Aug 26). Treasury ~11%; foreign ~56%; FCP ~2%.

Shareholder support: Moderate (crowded)

Foreign ownership is about 56%. Secom and Samsung together (~46%) could block, but their interests now differ: the Samsung affiliates face pressure to exit non-core stakes, while Secom may want control. For a new entrant the best route is to support FCP's auction demand and the treasury cancellation at the 2027 AGM, rather than run a separate campaign.

Likely defence

Samsung and S-1 will argue that FCP's bid is not credible or financeable, that the Samsung relationship (captive buildings and facilities work) underpins revenue, that payout is already about 50-60%, and that the cash funds AI security and data-centre services. S-1 has said it has 'no position to state'.

Activist angles

Angle	Specifics
Capital allocation	Treasury cancellation, excess cash, higher payout.
Portfolio simplification	Building-management and real-estate holdings vs core monitoring.
Governance	Board independence; end of CEO appointments from Samsung.
M&A	Control transaction: Secom step-up, auction of the Samsung stake, or a third-party bid.

Sources: S&P Capital IQ (LTM Jun-26); BizWatch Aug-26; Asiae Jun/Aug-26; Reuters via The Edge / WHBL Sep-26; ThePublic; TheGuru / ESG Economy; TaxTimes (Commercial Act)

8. Cheil Worldwide 030000 KS | Advertising & marketing services (Samsung group in-house agency)

Samsung's captive agency runs a capital-light, net-cash model yet holds 12% of its own shares in treasury and has never bought back stock. FLAG: it beat a structurally weak global agency peer set but trails the KOSPI by 91pp over five years.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 19,440	**KRW 1.97tn / $1.4bn**	**KRW 1.46tn**	**KRW 0.53tn (27%)**	**Samsung Elec. 25.2%**	**Moderate-Low**

What an activist would say

- **Quality cash flows at a distressed multiple.** EV/EBIT is 4.6x and EV/Sales 0.32x vs peer medians of 10.2x and 0.72x, despite a higher-quality, captive client base (about 80% of revenue from Samsung affiliates in 2021). Five-year TSR is +11% vs +102% for the KOSPI.
- **Idle capital.** KRW 531bn of net cash plus a 12.0% treasury stake (13.8m shares), with no buybacks. Payout is capped at 60% even though the business needs almost no capex (LTM capex KRW 27bn vs CFO KRW 298bn).
- **Captive-pricing risk.** Fee terms with Samsung Electronics (25.2% holder) decide how much of the economics stays with Cheil's minorities. Disclosure by client group is minimal.

Most actionable changes

1. Cancel the full 12% treasury stake ahead of the September 2027 deadline and launch a KRW 300bn buyback.
2. Raise payout to 80-100% of net income, in line with a capital-light, net-cash model.
3. Disclose margins by client group, set up an independent committee to review Samsung contracts, and apply return hurdles to digital M&A.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	+1%	+16%	+69%
TSR 3y	+13%	-3%	+146%
TSR 5y	+11%	-13%	+102%
EV/Sales	0.32x	0.72x	
EV/EBIT	4.6x	10.2x	
P/E (adj.)	8.0x	28.7x	
FCF yield	13.8%	13.5%	
EBIT margin	7.0%	10.8%	
EBITDA margin	9.0%	15.8%	
Net debt/EBITDA	-1.3x	1.1x	

Ownership

Top-5 shareholders	% common
Samsung Electronics	25.24%
Samsung Card	3.04%
Samsung Life (special a/c)	0.18%
CEO Kim Jong-hyun	0.01%
Treasury (no vote)	11.96%

etfshopping/DART (Dec-25). Group total 28.47%; NPS and foreign not verified.

Shareholder support: Moderate-Low

Samsung holds only 28.5%, but Samsung's influence over domestic institutions is real. A campaign at Cheil works best as part of the broader scrutiny of Samsung group governance (Samsung C&T campaigns, the S-1 fight, Value-up). Foreign institutions and NPS are the targets, and treasury cancellation is the easiest first win.

Likely defence

Cheil will argue it already pays out 60%, that treasury shares are kept for M&A, that Samsung pricing is at arm's length and the relationship is core to the franchise, and that a 2026 Value-up plan is in place.

Activist angles

Angle	Specifics
Capital allocation	12% treasury cancellation; KRW 531bn net cash; payout to 80-100%.
Portfolio simplification	Review sub-scale overseas digital agencies (Iris, McKinney, PengTai legacy).
Governance	Related-party transparency with Samsung; independent directors.
M&A	Return hurdles for bolt-ons.

Sources: S&P Capital IQ (LTM Jun-26; DPS); etfshopping (Dec-25); Daishin (Apr-26); Hankyung magazine (captive share, 2021); Akros (Value-up filing, Mar-26)

9. Netmarble 251270 KS | Mobile games (incl. SpinX social casino) and listed holdings (Coway, HYBE, NC)

Its listed stakes alone (~KRW 2.9tn) exceed its own market cap, so a KRW 2.9tn-revenue games business is valued below zero. FLAG: the founder is consolidating control, which makes this a public-campaign rather than a proxy-fight situation.

Price	Mkt cap	EV	Net debt	Largest holder	Support
KRW 34,000	**KRW 2.72tn / $2.0bn**	**KRW 2.95tn**	**KRW 0.12tn (0.3x)**	**Founder ~38%**	**Low**

What an activist would say

- **A negative stub value.** Coway at 27.5% (~KRW 1.97tn), HYBE at 7.1% (~KRW 0.50tn) and NC at 9.1% (~KRW 0.40tn) add up to ~KRW 2.87tn, against a KRW 2.72tn market cap. The operating business (KRW 326bn LTM EBIT, SpinX cash generation) is valued below zero.
- **Five years of value destruction.** TSR is -71% over five years, -17% over three and -37% over one, vs global games peers at +39%, +22% and -15%. The debt-funded SpinX deal (2021) and a slowing release slate (Q2-26 OP -21% YoY) weigh on it.
- **Control is creeping up at a discount.** Founder Bang Jun-hyuk agreed in Aug-26 to buy Tencent's 13.4% at KRW 33,538, below book, taking him to about 38%. Netmarble is also adding KRW 150bn of Coway shares after Align's 50.1% AGM win there.

Most actionable changes

1. Commit to closing the NAV discount: monetise the HYBE and NC stakes (and unwind the cross-holding with NC), and use the proceeds for buybacks at about a 50%+ discount to NAV, with an automatic buyback trigger tied to the discount.
2. Freeze further Coway purchases. Either distribute Coway shares in kind or run a strategic process for the stake.
3. Appoint minority-nominated independent directors and an independent capital-allocation committee, given the founder's consolidation.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	-37%	-15%	+69%
TSR 3y	-17%	+22%	+146%
TSR 5y	-71%	+39%	+102%
EV/Sales	1.02x	2.89x	
EV/EBIT	9.1x	10.6x	
P/E (adj.)	8.1x	16.7x	
FCF yield	9.4%	4.6%	
EBIT margin	11.2%	30.8%	
EBITDA margin	15.8%	36.1%	
Net debt/EBITDA	0.3x	-2.0x	

Ownership

Top-5 shareholders	% common
Bang Jun-hyuk (post-deal)	38.34%
CJ ENM	17.34%
NC Corp	7.03%
NongHyup	5.01%
Tencent (Han River Inv.)	4.70%

Byline / Sateconomy (Aug-26). Closing of the Tencent block not confirmed; pre-deal Bang 24.93%.

Shareholder support: Low

After the deal, Bang (about 38%) and CJ ENM (17%, bound by a shareholder agreement with Bang) control about 55% of the votes, so a proxy contest is not winnable. The angle is a public NAV-discount campaign aimed at CJ ENM, which is under its own balance-sheet pressure and is a plausible seller, and at NPS and foreign holders. ProntoNLP's 12-month call tone is +0.65 and management has launched a 2026-28 return policy (up to 40% of adjusted net income, cancellation of 4.7% treasury), so there is a base to push on.

Likely defence

Netmarble will argue that the Coway and HYBE stakes are strategic, citing subscription synergies and IP, that the new 2026-28 return policy and treasury cancellation already address the discount, that the founder's purchase shows confidence, and that the HQ sale (KRW 698bn) already de-levered the balance sheet.

Activist angles

Angle	Specifics
Capital allocation	Holdco discount, buybacks below NAV, cancellation of 4.7% treasury.
Portfolio simplification	Coway, HYBE and NC stakes; HYBE exchangeable bond overhang.
Governance	Founder creeping control; CJ ENM agreement; board independence.
M&A	No new debt-funded acquisitions (SpinX precedent); Coway exit.

Sources: S&P Capital IQ (LTM Jun-26); ProntoNLP (FY25 call 5-Feb-26; return policy); Byline / Sateconomy (Aug-26); SBS Biz (Coway stake); Dealsite (HYBE stake, EB); MT / inews24 (Q2-26); NewDaily (Coway AGM)

10. Kangwon Land 035250 KS | Casino resort (Korea's only casino open to Korean nationals) with ski, golf and hotel

The market values a domestic casino monopoly at a negative EV, with KRW 2.9tn of net cash against a KRW 2.9tn market cap. FLAG: public-sector holders together own about 51%, so this is a policy campaign, not a proxy fight.

Price	Mkt cap	EV	Net cash	Largest holder	Support
KRW 14,400	**KRW 2.86tn / $2.1bn**	**~KRW -0.1tn**	**KRW 2.93tn (102%)**	**KOMIR 36.3%**	**Low**

What an activist would say

- **You get the casino for free.** Net cash of KRW 2.93tn (cash and short-term investments of KRW 2.98tn against KRW 52bn of debt) exceeds the market cap. LTM EBITDA is KRW 305bn at a 20.7% margin, and the licence runs under a Special Act extended to 2045.
- **The cash is trapped.** Five-year TSR is -43% vs -31% for Asian casino peers and +102% for the KOSPI. The Oct-24 Value-up targets (P/B 1.2x by 2026, 60% total return, KRW 100bn of buybacks over three years) are well short of what the balance sheet allows, and 7.4% treasury shares remain uncancelled.
- **Management by vacancy and politics.** There were 32 months of acting CEOs until a former general and political appointee took office in Sep-26, criticised as a 'parachute' appointment. The non-casino leisure assets (ski, golf, water park) absorb capex without disclosed returns.

Most actionable changes

1. A special distribution of KRW 1.0-1.5tn (35-50% of market cap). More than half goes to public-sector holders, which helps their budgets and makes it politically saleable.
2. Cancel the 7.4% treasury now, raise payout to 70%+ and replace the deposit-heavy treasury policy.
3. Use an independent nomination committee for future CEOs, a capex hurdle and segment disclosure for the resort assets, and review loss-making leisure units.

Scorecard vs sector and KOSPI

Metric	Company	Sector median	KOSPI
TSR 1y	-12%	-27%	+69%
TSR 3y	+9%	-34%	+146%
TSR 5y	-43%	-31%	+102%
EV/Sales	neg.	2.16x	
EV/EBIT	neg.	12.4x	
P/E (adj.)	18.3x	14.4x	
FCF yield	4.3%	10.2%	
EBIT margin	14.6%	15.7%	
EBITDA margin	20.7%	26.1%	
Net debt/EBITDA	-9.6x	-2.4x	

Ownership

Top-5 shareholders	% common
KOMIR (state agency)	36.27%
Gangwon Development Corp.	~4.6-5.3%
Jeongseon-gun	5.02%
Samcheok City	1.33%
Taebaek City	1.30%

High1 IR (Jun-26), Hana (May-26). Public total ~51.0%; treasury ~7.4%; NPS ~6.8% (n.v.).

Shareholder support: Low

KOMIR is the controlling holder at 36.3%, below 40%, but municipal and provincial holders bring the public bloc to about 51%. A vote cannot be won against the state. The route is a public, numbers-led campaign aimed at the Ministry of Economy and Finance and the Ministry of Trade, Industry and Energy (which supervise KOMIR) and at the fiscally stretched local governments. The message is that a special dividend funds regional budgets better than deposits do. NPS and foreign holders (~12%) add legitimacy.

Likely defence

Kangwon Land will cite its public-interest mandate under the Special Act (regional development, gambling-harm controls), regulatory caps on tables and hours that limit growth, the cash reserved for its long-planned integrated-resort expansion, and the Value-up plan and buybacks already under way (KRW 29bn done, KRW 20bn planned for 2H26).

Activist angles

Angle	Specifics
Capital allocation	Net cash above market cap; special dividend; treasury cancellation.
Portfolio simplification	Non-casino leisure assets (ski, golf, water park, hotels).
Governance	Politicised CEO appointments; independent nomination; board professionalisation.
M&A	Discipline on the integrated-resort capex programme; no non-core diversification.

Sources: S&P Capital IQ (LTM Jun-26); High1 IR shareholder page (Jun-26); Hana Securities (May-26); Dealsite / Edaily (CEO, Aug-26); Kukinews (Value-up, Oct-24; FY25 returns); Asiae (buybacks, Aug-26); Pressian / KIDD (Special Act)

Appendix A — Peer sets and medians

Sector set	Peers	EV/ Sales	EV/ EBIT	P/E	FCF yld	EBIT mgn	EBITDA mgn
Games (NC, Netmarble)	Krafton, Nexon, Pearl Abyss, Kakao Games, Capcom, Konami, NetEase	2.89x	10.6x	16.7x	4.6%	30.8%	36.1%
Display-driver ICs (LX Semicon)	Novatek, Himax, FocalTech (EV/EBIT and P/E: Novatek only)	2.79x	15.2x	19.0x	5.0%	4.9%	7.4%
Beauty (LG H&H)	Amorepacific, Shiseido, Kao, Kose	1.76x	20.1x	24.3x	4.7%	6.5%	12.3%
Chemicals (Kumho)	LG Chem, Lotte Chemical, Hanwha Solutions, Zeon (EV/EBIT, P/E: Zeon only)	1.14x	10.9x	10.5x	-11.2%	-1.2%	7.6%
Construction (DL E&C)	Hyundai E&C, GS E&C, Daewoo E&C, Samsung E&A, HDC Hyundai Development	0.64x	14.8x	21.4x	-2.8%	2.9%	5.0%
Agencies (Innocean)	Cheil, WPP, Publicis, Dentsu, Hakuhodo DY, Omnicom	0.72x	9.9x	21.8x	13.6%	8.9%	12.4%
Agencies (Cheil)	WPP, Publicis, Dentsu, Hakuhodo DY, Omnicom	0.72x	10.2x	28.7x	13.5%	10.8%	15.8%
Security (S-1)	Secom, Securitas, ADT (EV); ALSOK (margins only)	1.77x	11.7x	16.3x	n.a.	10.4%	15.7%
Casinos (Kangwon Land)	GKL, Galaxy Entertainment, Sands China, Genting Singapore	2.16x	12.4x	14.4x	10.2%	15.7%	26.1%

TSR medians for the same sets (1y / 3y / 5y): Games -15% / +22% / +39%; DDI +34% / +32% / +62%; Beauty +6% / -33% / -49%; Chemicals +3% / -20% / -50%; Construction +61% / +142% / +79%; Agencies incl. Cheil +16% / +7% / 0%; Agencies incl. Innocean +16% / -3% / -13%; Security +12% / +32% / +20%; Casinos -27% / -34% / -31% (5y: n=2). Local-currency returns; ADR prices used for Shiseido, Secom, Toyo Suisan, WPP, Publicis and NetEase. Peer P/E uses reported net income and approximate equity (TEV less net debt). Some peers carry non-June fiscal periods (Zeon, Want Want).

Appendix B — Methodology, data and caveats

- **Prices and FX.** Closing prices on 13-Oct-2026 (a -5.5% KOSPI day), except Kumho at 9-Oct-2026. US$ conversions at about KRW 1,380/US$ (approximate).
- **TSR.** Built from CIQ dividend-adjusted price series (via ProntoNLP), where dividend adjustments run to about end-2024; FY25 final and 2026 interim dividends are added back manually. KOSPI is shown as a price return; adding about 1.5-2% a year of dividends does not change any conclusion. Peer TSRs are price-based (adjusted pre-2025) in local currency.
- **Kumho Petrochemical.** The price feed for 011780 returned the preferred-share line. Common-stock TSR uses verified price points from broker reports and press, and the 3/5-year common TSR is shown as n.a. Valuation uses CIQ TEV at the current price.
- **Earnings quality.** LTM net income includes one-offs: NC's Samsung-dong building sale (KRW 443.5bn), Netmarble's HQ sale (KRW 698bn) and HYBE stake sales, and DL E&C gains. Adjusted P/E applies 24% tax to EBT excluding unusual items. Innocean's FCF yield is inflated by agency working-capital inflows.
- **Ownership.** Taken mostly from DART-derived aggregators, broker reports and press (Aug-Oct 2026). Several NPS and foreign-ownership figures could not be verified because our web-search quota ran out; verify against DART H1-26 reports before acting. Netmarble's post-deal stake assumes the Tencent block closed.
- **Net debt.** CIQ definition (includes lease liabilities; treats short-term investments as cash). Company-reported net cash can differ; for S-1, for example, press cites about KRW 1.3tn vs CIQ's KRW 0.85tn.
- **Earnings-call tone.** ProntoNLP 12-month sentiment is available only for NC (+0.81) and Netmarble (+0.65); the other targets have no indexed calls.
- **Scope.** This is a targeted screen of a 32-name long-list, not an exhaustive mechanical screen of every KOSPI stock. Financials were excluded by design.

Appendix C — Sources

Market and financial data: S&P Capital IQ via S&P Global MCP (LTM to 30-Jun-2026; 'last close' multiples at mid-Oct-2026).

Prices, call tone and DART filings: ProntoNLP (NC sentiment https://gam.prontonlp.com/#/ref/$COMPANY_1261518_$GROUPBY_Scores_$KEY_Sentiment ; Netmarble sentiment https://gam.prontonlp.com/#/ref/$COMPANY_154136153_$GROUPBY_Scores_$KEY_Sentiment ; Netmarble 2026-28 return policy https://gam.prontonlp.com/#/ref/$SENTID_NONSEC000257087480-163 ; NC treasury retirement https://gam.prontonlp.com/#/ref/$SENTID_NONSEC000260498285-466).

KOSPI levels: Money Today 13-Oct-2026 (6,035.35) https://www.mt.co.kr/stock/2026/10/13/2026103144053959 35 ; Money Today 14-Oct-2025 (3,561.81) https://www.mt.co.kr/stock/2025/10/14/2025101414511835859 ; 13-Oct-2023 (2,456.15) https://www.blockmedia.co.kr/archives/400015 ; 14-Oct-2021 (2,988.64).

Commercial Act 3rd amendment: PwC Korea https://www.pwc.com/kr/ko/services/governance-center/publications/whats-on/whats-on_commercial-act_mar2026.html ; TaxTimes https://www.taxtimes.co.kr/news/article.html?no=274003

NC / Netmarble / HYBE: FnGuide https://comp.fnguide.com/svo2/fncompany.asp?gicode=A036570 ; Dealsite https://dealsite.co.kr/articles/157411 ; Youthdaily https://www.youthdaily.co.kr/news/article.html?no=181163 ; Bizwatch https://news.bizwatch.co.kr/article/mobile/2025/07/25/0010 ; Byline https://byline.network/2026/08/21-594/ ; SBS Biz https://biz.sbs.co.kr/amp/article/20000339444 ; Dealsite https://dealsite.co.kr/articles/156474 ; MT https://www.mt.co.kr/tech/2026/08/05/2026080516022453169 ; MTN https://news.mtn.co.kr/news-detail/2026090314220980693 ; NewDaily https://www.newdaily.co.kr/site/data/html/2026/04/08/2026040800117.html

LX Semicon / S-1 / DL E&C / BGF: etfshopping https://etfshopping.com/stock/108320/company ; newdaily https://biz.newdaily.co.kr/site/data/html/2026/03/20/2026032000077.amp.html ; dealsitetv https://news.dealsitetv.com/articles/159702 ; BizWatch https://news.bizwatch.co.kr/article/industry/2026/08/28/0002 ; Asiae https://core.asiae.co.kr/article/2026062409591060410

; Asiae EN https://view.asiae.co.kr/en/article/2026082710423597256 ; Reuters/WHBL https://whbl.com/2026/09/08/activist-seeks-samsung-shareholder-list-in-fight-over-s-1-corp/ ; CEO Score https://ceoscoredaily.com/page/view/2026070315104453034 ; IB Tomato https://newstomato.com/ReadNews.aspx?no=1238324 ; SmartToday https://www.smarttoday.co.kr/ko-kr/articles/109968

LG H&H / Orion / Nongshim: etfshopping https://etfshopping.com/stock/051900/company ; StockHub https://stockhub.kr/en/news/news_2d14e56348d6 ; Edaily https://en.edaily.co.kr/news/eda202608245579/ ; Asiae https://view.asiae.co.kr/en/article/2026082616190075114 ; CNC News https://www.cncnews.co.kr/mobile/article.html?no=11119 ; SmartToday https://www.smarttoday.co.kr/ko-kr/articles/65149 ; research report (Orion 43.8%) https://stock.pstatic.net/stock-research/company/16/20260415_company_8640000.pdf ; Hanwha (Nongshim 44.2%) https://stock.pstatic.net/stock-research/company/16/20260518_company_12840000.pdf

Kangwon Land / Kumho / Cheil / Innocean: High1 IR https://kangwonland.high1.com/kangwonland/contents.do?key=2547 ; Hana https://stock.pstatic.net/stock-research/company/57/20260504_company_384411000.pdf ; Dealsite https://dealsite.co.kr/articles/168289 ; Kukinews https://www.kukinews.com/article/view/kuk202603310206 ; etfshopping https://etfshopping.com/stock/011780/company ; Seoul Shinmun https://m.seoul.co.kr/news/2024/03/22/20240322500094 ; Sidae https://www.sidae.com/article/2026032611334894589 ; Kumho IR https://www.kkpc.com/eng/invest/library/dividendsDetail/?seq=9 ; etfshopping https://etfshopping.com/stock/030000/company ; Daishin https://stock.pstatic.net/stock-research/company/15/20260430_company_988235000.pdf ; etfshopping https://etfshopping.com/stock/214320/company